

claimed, scuttlebutt will provide substantial clues that will enable the investor to identify outstanding investments.

Fisher's scuttlebutt investigation led him to interview as many sources as possible. He talked with customers and vendors. He sought out former employees as well as consultants who had worked for the company. He contacted research scientists in universities, government employees, and trade association executives. He also interviewed competitors. Although executives may sometimes hesitate to disclose too much about their own company, Fisher found that they never lacked an opinion about their competitors. "It is amazing," he said, "what an accurate picture of the relative points of strength and weakness of each company in an industry can be obtained from one representative cross-section of the opinions of those who in one way or another are concerned with any particular company."¹²

Most investors are unwilling to commit the time and energy Fisher felt was necessary for understanding a company. Developing a scuttlebutt network and arranging interviews are time-consuming activities; replicating the scuttlebutt process for each company under consideration can be overwhelming. Fisher found a simple way to reduce his workload—he reduced the number of companies whose stock he owned. He always said he would rather own shares in a few outstanding companies than in a larger number of average businesses. Generally, his portfolios included fewer than 10 companies, and three or four companies represented 75 percent of his entire equity portfolio.

Fisher believed that, to be successful, investors needed to do only a few things well. One was investing in companies that were within the circle of competence. Fisher said his earlier mistakes were "to project my skill beyond the limits of my experience. I began investing outside the industries which I believed I thoroughly understood, in completely different spheres of activity; situations where I did not have comparable background knowledge."¹³

Charlie Munger

When Warren Buffett began his investment partnership in 1956, he had just over \$100,000 in capital. One early task, therefore, was to persuade